

INDIAN ECONOMY

**LEVEL
II**



LECTURES

- REASONS FOR FARMERS' DISTRESS
- DRAWBACKS OF APMC ACTS
- AGRICULTURE INFRASTRUCTURE FUND

MODULE - 55



IN GENERAL, WHY THE FARMERS' DISTRESS INCREASED IN RECENT YEARS?



SUPPLY GLUT AND PRICES BELOW MSP!

5 The Govt. focus of the interventions is consumer centric than farmer centric. A case in point is, when the onions are selling at Rs. 2 per kg in the wholesale markets, Govt. does not bother but, when it goes up to higher levels, say Rs. 50, then the Govt. intervenes.

4 Because of the supply glut, several commodities have seen the market prices hovering much below MSP for most of the years.

1 State support to agriculture is declining. R&D investments in agriculture as a percentage of GDP is showing decline, since economic liberalisation.

2 Lack of proper insurance mechanisms and the most promised Pradhan Mantri Fasal Bima Yojana is not able to bring farmers out of distress.

3 Input costs increased substantially and in some parts of the country, there is labour shortage in rural areas due to migration to urban areas and hence, the labour costs for agriculture increased in general.

IN GENERAL, WHY THE FARMERS' DISTRESS INCREASED IN RECENT YEARS?

9 Exploitation by middlemen is another major issue.

8 In spite of Govt. efforts, even now also, only 30% of the farmers have access to institutional credit and most of them are located in certain regions adjacent to urban areas or those living in major villages.



6 Vagaries of monsoon and unseasonal rains due to climate change and uncertainty about the groundwater availability.

7 It is incidental to note that there is massive increase in the irrigation dependence on the groundwater, since Independence and the failure of tube wells, especially in the Deccan Region, is resulting in farmer suicides.

SUPPLY
GLUT AND
PRICES
BELOW MSP!



IN GENERAL, WHY THE FARMERS' DISTRESS INCREASED IN RECENT YEARS?

12 Due to inadequate manufacturing sector, several people are stuck in agriculture, because if they leave agriculture, they will land up in low paid services sector jobs.



SUPPLY
GLUT AND
PRICES
BELOW MSP!

10 It is incidental to note that farmers realise the revenue up to 60-70% of the consumer price in milk (primarily due to the cooperatives ecosystem), whereas for the agricultural produce, there is huge difference between the price consumer pays and the price farmer gets.

11 The fruits of liberalisation have not reached the rural hinterland benefitting the agriculture sector.

It is an irony that even after 75 years of independence, around 43% of the workforce in the country contributes to just around 16-18% of GDP!

AGRICULTURAL PRODUCE MARKET COMMITTEE ACTS



APMC has a monopoly over wholesale trade in the specified area. However, some states have exempted certain agricultural produce, like fruits and vegetables, from the purview of the APMC Acts.

- Under the APMC Act, each state divides its entire territory into several market areas. Each area is managed by an APMC Mandi.
- The State Government appoints
 - ✓ The APMC Chairperson and members
 - ✓ Commission agents (“Arhtiyas”) and
 - ✓ Wholesalers responsible for selling and buying the produce.
- The APMC manages market yards and sub-yards, where wholesale trade in the produce of the entire market area takes place.

HOW THE PROCESS AT APMC MANDI STARTS?



- Farmers in villages bring the produce to the market yard.
- The commission agents sell the produce to the wholesalers.
- The price at which market commission agents sell the produce to wholesalers is supposed to be determined by the auction.
- But in practice, the process is opaque and in majority of the cases, arbitrary fixing of the price takes place. Farmers do not have the bargaining power.

FINALLY, WHAT ARE THE DRAWBACKS OF THE APMC ACTS?

7 There is a presence of multiple intermediaries and the nexus among APMC members, commission agents and wholesalers is clearly evident.

6 The variety of taxes and commission agents fees gets added to the final price.

5 No direct farmer to trader sale.

4 Farmers are forced to sell before the end of that day itself due to the lack of sufficient storage infrastructure, in most of the cases.



OPACITY
AND NEXUS
ARE THE
REAL
CONCERNS!



1 Notified commodities cannot be sold outside the APMC Mandis.

2 The price at which the wholesalers procure is supposed to be determined through auction. But in practice, it is entirely opaque.

3 Storage infrastructure at the APMC yards is poor and a significant part of the produce regularly rots.

Taxes and commission agents charges vary from 5% to 8% in seven states and the highest is in Punjab and Haryana.

AIF AND e-NAM ARE TOWARDS STRENGTHENING AGRICULTURAL MARKETING

- As already discussed, wholesale agricultural marketing is undertaken by the network of around 7,000 regulated wholesale markets, set up under the provisions of respective State Agricultural Produce Market Committee (APMC) Acts.
- APMCs have been recognized as one of the eligible entities under Agriculture Infrastructure Fund (AIF) to further strengthen the infrastructure in APMC mandis.
- All loans under the AIF have interest subvention of 3 per cent per annum up to a limit of Rs. 2 crores. This subvention is available for a maximum period of 7 years. This Rs. 2 crores limit will be for each project separately i.e., cold storage, sorting, grading and assaying units, silos etc.

- For online transparent competitive bidding system, electronic-National Agriculture Market (e-NAM) is launched in 2016.
- Under the e-NAM Scheme, Government is providing free software and assistance of Rs. 75 Lakh per APMC mandi for related hardware including quality assaying equipment and creation of infrastructure like cleaning, grading, sorting, packaging and compost units etc.



WHAT IS THE NEED FOR AGRICULTURE INFRASTRUCTURE FUND?



- Agri-infrastructure - which facilitates the creation of post-harvest facilities such as storage and transportation - contributes to market linkages and results in appropriate additional gains to agri-value chain actors, including farmers.
- The Ashok Dalwai Committee estimated that an investment of Rs.89,375 Cr is needed for storage and transportation facilities for primary agricultural produce.

AIF IS MAINLY TO CREATE STORAGE AND MARKET INFRASTRUCTURE!



WHAT ABOUT THE PRESENT SCHEMES?

At present, the Private Entrepreneurs Guarantee Scheme attracts private investors to set up modern warehouses. The investors lease out spaces to State agencies for facilitating their procurement and distribution functions. There is another scheme, i.e., Rural Godowns Scheme of 2001-02.

- AIF is aimed at strengthening and expanding the scope of Agricultural Produce Marketing Committees (APMCs). These are the places where agricultural produce is traded and a congregation of commission agents or arthiyas and large buyers influence auctioning and price discovery.
- This scheme can provide support facilities to farmers and value chain actors for risk-sharing and market access.
- It envisages creation of storage and market infrastructure in a project mode through interest subvention of 3% on collateral-free loan up to Rs.2 Cr. for seven years.

OTHER SALIENT FEATURES OF AIF



- There are specific requirements like cluster identification or targeting State-specific APMCs and maintenance of sanitary and phytosanitary standards for organic produce marketing and exports.
- It also further states that district, State or national level monitoring committees will be entrusted with keeping the turnaround time for file processing to less than 60 days.
- The approved projects for funding the beneficiaries are to be reflected in the Public Fund Management System.
- At the same time, reasons for not funding the project needs to be communicated to maintain visibility and transparency.

In short, the AIF scheme targets the creation of adequate post-harvest infrastructure facilities to mitigate spatial and temporal risks in the agribusiness ecosystem!

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